



FIRST QUARTER 2015 FINANCIAL RESULTS

May 5, 2015

zoetis

FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, expectations regarding products, future use of cash and dividend payments, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2014, including in the sections thereof captioned "Forward-Looking Information and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income and adjusted diluted earnings per share, to assess and analyze our operational results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

JUAN RAMÓN ALAIX
CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

STRONG FIRST QUARTER RESULTS

- All livestock species contributed to growth reflecting continued producer profitability
- Key brands, China and Latin America contributed to Companion Animal growth
- Price, new and acquired products from Abbott contribute to growth
- Adjusted Net Income grew faster than revenue

OPERATIONAL EFFICIENCY PROGRAM

- Comprehensive initiative designed to simplify operations, improve cost structure and better allocate resources to position Zoetis for long-term profitable growth
- Cost savings of \$300 million and adjusted EBIT margin improvement from 25% in 2014 to approximately 34% in 2017
 - Elimination of approximately 5,000 lower revenue / lower margin product SKUs
 - Sale or exit about 10 manufacturing sites over the long-term
 - Change to selling approach in approximately 30 markets
 - Fewer reporting segments – U.S. and International
 - Lower general and administrative costs in corporate functions from ERP efficiencies
 - Shift of marketing resources closer to customer & simpler non-customer facing infrastructure
 - Enhanced R&D focus and greater prioritization of R&D portfolio

POSITIONED FOR LONG TERM PROFITABLE GROWTH

PAUL HERENDEEN
CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	First Quarter		
	2015*	2014*	Change
Revenue	\$1,102	\$1,097	-
Reported Net Income	165	155	6%
Reported Diluted EPS	\$0.33	\$0.31	6%
Adjusted Net Income ¹	207	191	8%
Adjusted Diluted EPS ¹	\$0.41	\$0.38	8%

*Millions of dollars, except per share data

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

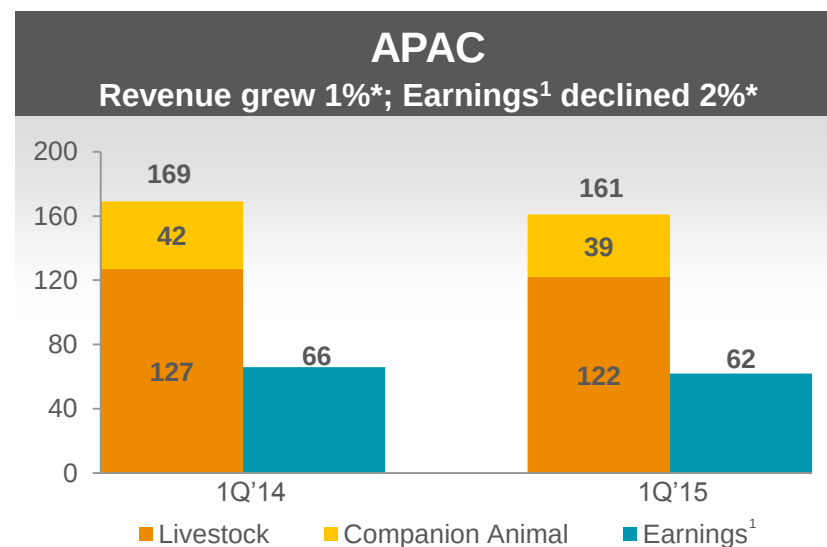
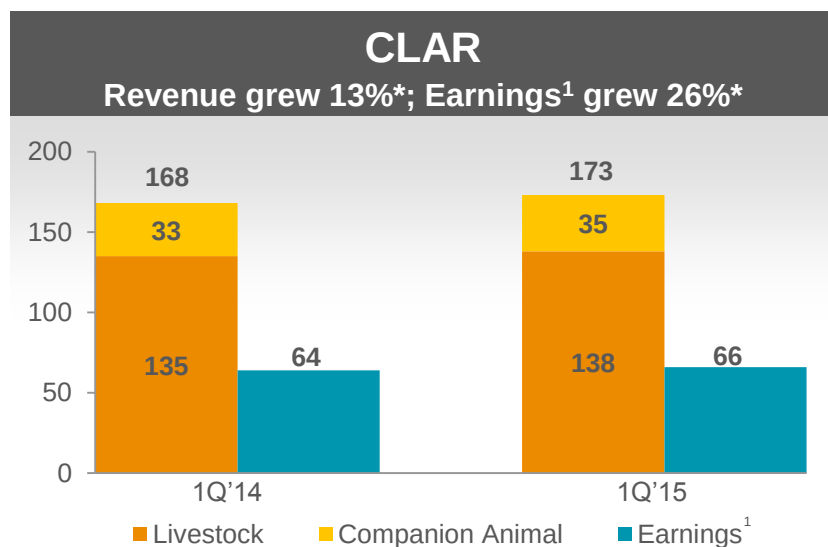
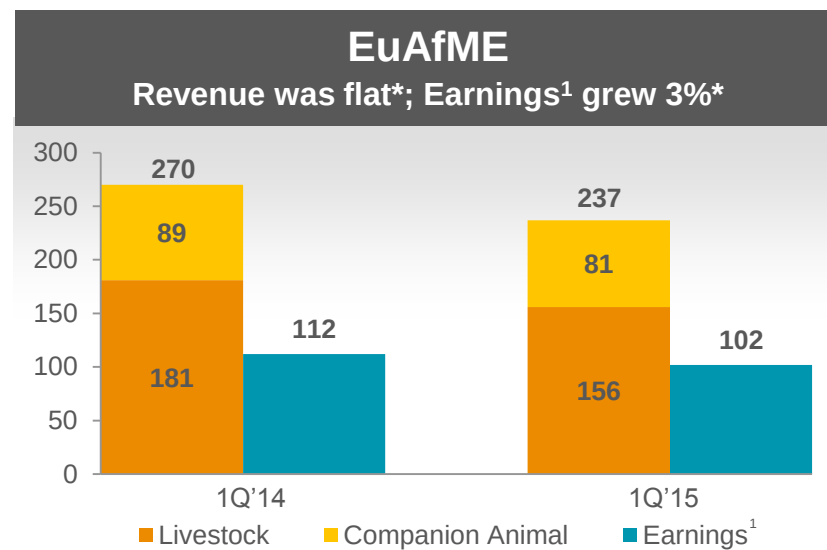
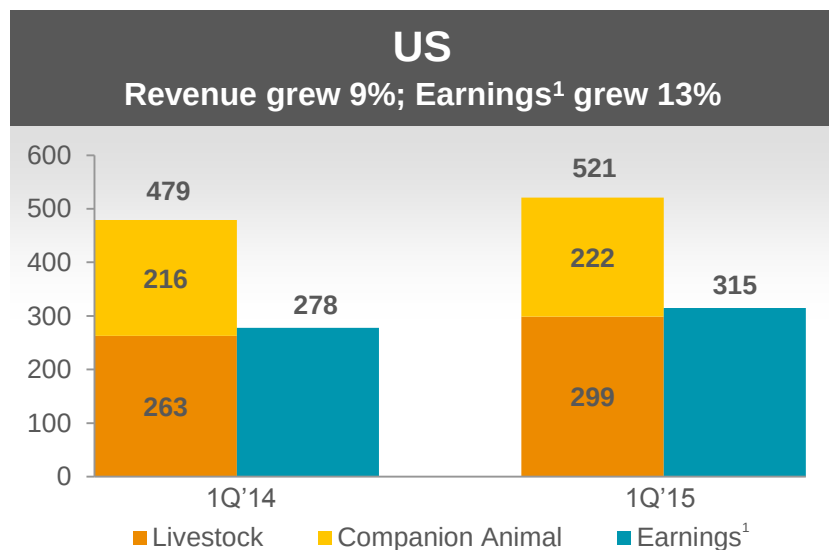
	First Quarter				
	2015*	2014*	Change	Foreign Exchange	Operational ²
Revenue	\$1,102	\$1,097	-	(6)%	6%
Adjusted Cost of Sales ¹	385	375	3%	(6)%	9%
<i>as a percent of revenue</i>	34.9%	34.2%	NA	NA	NA
Adjusted SG&A Expenses ¹	320	327	(2)%	(5)%	3%
Adjusted R&D Expenses ¹	80	87	(8)%	(2)%	(6)%
Effective Tax Rate on Adjusted Income ¹	27.4%	31.0%	NA	NA	NA
Adjusted Net Income ¹	207	191	8%	(6)%	14%

*Millions of dollars
NA – Not applicable

¹Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, and adjusted research and development (R&D) expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

²Operational growth excludes the impact of foreign exchange.

SEGMENT PERFORMANCE



* Denotes operational performance, which is defined as growth excluding the impact of foreign exchange

¹Defined as income before provision for taxes on income

OPERATIONAL EFFICIENCY INITIATIVE – SUMMARY POINTS

- Preserves key elements of proven business model
- Significant portion of reductions focused in areas that do not affect long-term revenue growth
- Improves company-wide efficiency to deliver profitable growth over the long term
- More profitable, smaller revenue base, better positioned to deliver long term profitable growth
- Greater flexibility to allocate resources to best serve customers and drive continued market leadership

OPERATIONAL EFFICIENCY INITIATIVE – FINANCIAL IMPACT

- **Reduces 2017 revenue by \$280 million**
 - **Related reduction in gross profit of \$100 million**
- **Expect total savings of \$300 million versus prior expectations for 2017**
- **Increases 2017 operating profit by \$200M**

OPERATIONAL EFFICIENCY: FX LEVEL-SET

Selected Line Items	Incremental Impact of FX Since January on 2016 / 2017
Revenue	~215 bps
Adjusted cost of sales ⁽¹⁾	~260 bps
Adjusted operating expenses ⁽¹⁾	~170 bps
Adjusted EBIT ⁽¹⁾	~220 bps
Adjusted net income ⁽¹⁾	~235 bps

¹Adjusted net income and its components are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

2017 IMPACT OF OPERATIONAL EFFICIENCY AND VENEZUELA

<i>At April FX</i>		Impact to 2017 Outlook (\$ millions except per share amounts)
Selected Line Items	Operational Efficiency Initiative	Venezuela Business
Revenue	(280)	(90)
Adjusted gross profit ⁽¹⁾	(90)	(65)
Adjusted operating expenses ⁽¹⁾	(290)	(10)
Adjusted EBIT ⁽¹⁾	+200	(55)
Adjusted diluted EPS ⁽¹⁾	+\$0.28	(\$0.07)

Net Improvement of 2017 Adjusted EBIT margin of ~500 bps versus prior expectations

¹Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

2015 FINANCIAL GUIDANCE UPDATES

Selected Line Items (millions of dollars, except per share amounts)	As Provided on February 11, 2015	Foreign Exchange	Venezuela Business	Operational Efficiency Initiative and Supply Network Strategy	Updated Full Year 2015
Revenue <i>Operational growth</i>	\$4,800 to \$4,900 6.5% to 8.5%	(\$75)	(\$50)		\$4,675 to \$4,775 5.5% to 7.5%
Adjusted cost of sales as a percentage of revenue ⁽¹⁾	35.5% to 36.0%				35.5% to 36.0%
Adjusted SG&A expenses ⁽¹⁾	\$1,420 to \$1,470	(\$20)	(\$5)	(\$40)	\$1,355 to \$1,405
Adjusted R&D expenses ⁽¹⁾	\$385 to \$405			(\$5)	\$380 to \$400
Adjusted interest expense and other (income) / deductions ⁽¹⁾	Approximately \$110				Approximately \$110
Effective tax rate on adjusted income ⁽¹⁾	Approximately 29%				Approximately 29%
Adjusted diluted EPS ⁽¹⁾	\$1.61 to \$1.68	(\$0.01)	(\$0.05)	\$0.06	\$1.61 to \$1.68
Adjusted net income ⁽¹⁾ <i>Operational growth</i>	\$810 to \$845 11% to 16%	(\$5)	(\$25)	\$30	\$810 to \$845 12% to 17%
Certain significant items and acquisition-related costs	\$140 to \$160			\$270 to \$330	\$410 to \$490
Reported diluted EPS	\$1.32 to \$1.39	(\$0.01)	(\$0.05)	(\$0.34 to \$0.46)	\$0.79 to \$1.02

¹Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

2015 – 2017 FINANCIAL GUIDANCE

Selected Line Items (millions of dollars, except per share amounts)	2015	2016	2017
Revenue <i>Operational growth</i>	\$4,675 to \$4,775 5.5% to 7.5%	\$4,650 to \$4,800 (1%) to 2%	\$4,850 to \$5,050 3% to 7%
Adjusted cost of sales as a percentage of revenue ⁽¹⁾	35.5% to 36.0%	33% to 34%	32% to 33%
Adjusted SG&A expenses ⁽¹⁾	\$1,355 to \$1,405	\$1,270 to \$1,340	\$1,240 to \$1,330
Adjusted R&D expenses ⁽¹⁾	\$380 to \$400	\$380 to \$400	\$380 to \$400
Adjusted interest expense and other (income) / deductions ⁽¹⁾	Approximately \$110	Approximately \$110	Approximately \$110
Adjusted EBIT margin ⁽¹⁾	Approximately 27%	Approximately 31%	Approximately 34%
Effective tax rate on adjusted income ⁽¹⁾	Approximately 29%	Approximately 30%	Approximately 29%
Adjusted diluted EPS ⁽¹⁾	\$1.61 to \$1.68	\$1.81 to \$1.93	\$2.18 to \$2.32
Adjusted Net income ⁽¹⁾ <i>Operational growth</i>	\$810 to \$845 12% to 17%	\$910 to \$970 12% to 19%	\$1,095 to \$1,165 17% to 24%
Certain significant items and acquisition-related costs	\$410 to \$490	\$130 to \$180	\$50 to \$80
Reported diluted EPS	\$0.79 to \$1.02	\$1.45 to \$1.65	\$1.98 to \$2.16

¹Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ONE TIME COSTS 2015 - 2017

Pre-tax Charges (millions of dollars)	2015 - 2017
Stand-up costs, acquisition-related costs and other	\$180 to \$210
Operational efficiency initiative (excluding non-cash)	\$340 to \$400
Supply network strategy (excluding non-cash)	\$60 to \$100
Certain significant items and acquisition-related costs	\$580 to \$710

Q&A

zoetis